

lines, our traders exercise substantial discretion and, since I've often been on the desk myself, I like to think some intellectual quality, relative to the competition.

When all is said and done, I admit to some uncertainty about the utility of all this activity. Somehow, I think it is a relevant part of the process—at least for us.

RESEARCH AND LONG-TERM INVESTING

Internally, we currently have three people who devote their full efforts to industry and individual stock research. They are highly knowledgeable on a variety of industries and spend considerable time visiting managements and attending seminars in an effort to become truly intellectually competitive. Over a one-year period we deal with 70 to 80 brokerage firms, most of which provide us with some sort of research service.

The great thrust of our efforts is to obtain a long-term understanding of what's happening in both a micro and macro sense. Sometimes this translates into longer-term holdings and concentration in various stocks and industry groups. Often, however, the results of this work are used in making transactions that are of short-term duration. This may occur when a long-term development has an exaggerated short-term impact, or when for market timing considerations we adjust our portfolio to reflect a changed view on market direction.

MARKET TIMING AND STOCK SELECTION

I suspect that over the years we have had substantially fewer "doubles and triples" in our stock portfolio than other investment entities that have had but a fraction of our historical rate of gain. Perhaps because of our emphasis upon